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Office Memorandum • UNITED STATES GOVERNMENT

TO : NA - Mr. Allison DATE: December 29, 1949

FROM : NA - R. Fearey

SUBJECT: Japanese Treaty

12-29-49

Attached is a new draft of the treaty. The principal changes, comparing it with the November 2 draft, are as follows:

1. Burma, Indonesia, and Pakistan have been added to the list of principal signatories (those attending the negotiating conference) and Ceylon and Korea to the other signatories.

2. Chapter I on Basic Principles has been partly redrafted, without any great change in substance.

3. The Habomais and Shikotan and Liancourt Rocks have been included within the new Japan.

4. The six articles at the end of the territorial chapter have been combined in two.

(Drafts embodying Sebald's proposal for a very brief territorial chapter in which Japan would simply renounce all rights and titles to areas which it is not to keep and the Allied and Associated Powers would dispose of those areas in a separate agreement, were prepared and considered, but it was decided after talking with Mr. Fisher that this arrangement would weaken our hold on Formosa, Saghalien, and the Kuriles if the Chinese and Soviets did not participate, and the idea was accordingly dropped.

5. Article 19 of the old draft, in which Japan undertook to ensure the apprehension of certain additional war crimes suspects, has been deleted.

6. The old Article 38 on redemption of Allied military currency issued in Japan has been deleted.

7. Paragraph 3 of the old Article 41, which was objected to by General MacArthur because he read it to mean that the Japanese Government had to compensate in full Japanese nationals whose property was seized abroad, has been revised to make it clear that the amount of such compensation, which will probably be zero, is entirely up to the Japanese Government to determine.

8. A terminal date of ten years has been set on the activities of the Arbitral Tribunal, unless an earlier or later date is agreed by the Allied and Associated Powers and by Japan.

9. The old Article 52, which provided for a conference to review the treaty five years after it comes into effect, and which

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was objected to by General MacArthur and Sebald, has been deleted.

10. The sections of the old Annex V dealing with patents and trademarks have been deleted and a reference has been made instead in the body of the treaty (the new Article 28) to certain Japanese Cabinet Orders containing the same material.

11. The old Annex VII on return of UN property in Japan has been rewritten in considerable degree. The provision for 50 per cent compensation for damage to such property has been retained, notwithstanding General MacArthur's objections, for the same reasons that we have been advancing for two years--that the burden on the Japanese economy will be far less than SCAP has estimated, especially if spread over several years, and that provision for such compensation has been included in all comparable treaties of this century, including that with Italy, where economic conditions are not much better. The compensation will not involve foreign exchange expenditure.

In this Annex, and all through the treaty, reference is to "the Allied and Associated Powers" and their nationals only; no rights are conferred on the "United Nations" or "United Nations Nationals."

There are numerous other changes of less importance.

On the whole we have gone quite far in adopting Sebald's suggestions, and have adopted two of the three advanced by General MacArthur.

No distribution of this draft is being made for the present. I am preparing a new commentary to go with it.

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